

ALLIANCE GIRLS 2025 PREDICTION



POSSIBLE KCSE EXAM

565/2

BUSINESS STUDIES

PAPER 2

TIME: 2½ HOURS

NAME.....

SCHOOL..... SIGN.....

INDEX NO..... ADM NO.....

Kenya Certificate of Secondary Education.

INSTRUCTIONS

1. Write your **NAME**, **SCHOOL** and **INDEX NUMBER** in the spaces provided.
2. Answer **ANY FIVE** questions provided in the spaces provided.
3. This paper consists of **6 questions**

FOR EXAMINERS USE ONLY

Questions	1	2	3	4	5	6	TOTAL
Mark							

1. (a) Explain **five** factors that may lead to the success of a business enterprise.(10 marks)
- (b) Spain and France are developed countries in Europe. Discuss **five** problems of using national income statistics to compare the living standards of their citizens.(10 marks)
2. (a) Explain **five** principles that would lead to effective operation of Jubilee insurance company. (10 marks)
- (b) Explain **five** attributes of a good money material. (10 marks)
3. (a) Explain **five** differences of a public Limited company and a partnership.(10 marks)
- (b) Explain **five** characteristics of economic resources. (10 marks)
4. (a) Describe **five** documents required to register a public limited company.(10 marks)
- (b) On 1st June 2018, the following balances were in the books of Semenya Traders.
Cash sh 15,000 Bank CR 40,000
The following transactions occurred during the month.
Date 4 Omenga a debtor settled his account of sh 10,000 by a cheque of sh 8,000.
7 Deposited sh 4,000 into the business Bank account from the cash till
8 Paid rent by cash sh 4,000
14 Cash sales sh 14,000
17 Purchased furniture worth sh 3,000 paying by cheque
18 Settled Maina's account of sh 10,000 after being allowed a discount of 5% by cash
20 Received sh 6,000 cash from Nyori a debtor.
22 Kemboi a debtor settled his account of sh 4,000 by cheque having been allowed a discount of 2%.
25 Deposited sh 17,000 into the bank from private sources.
30 Banked all the cash.

Required

Prepare a three column cash book duly balanced.

5. (a) Kenya Power is a monopoly in Power distribution in Kenya. Explain five sources from which it could have received its power. (10 marks)

- (b) Explain **five** features of a good filing system. (10 marks)

6. (a) Advertising in the Newspapers is one way of promoting sales of goods. Highlight five limitations of advertising goods in Newspapers. (10 marks)

- (b) The following trial balance relates to Kangogo traders as at 30th June 2018

Particular	Dr	Cr
Stock 1 st July 2017	450,000	
Purchases	800,000	
Sales		1,200,000
Carriage Outwards		10,000
Carriage Inwards		5,000
Returns	30,000	20,000
Sundry Expenses	100,000	
Transport	20,000	
Stock 30 th June 2018	550,000	
Capital		745,000
	<u>1,965,000</u>	<u>1,965,00</u>

Required:

Calculate;

- (i) Rate of stock turnover (3 marks)
- (ii) Rate of return on capital (2 marks)
- (iii) Markup (2 marks)
- (iv) Turnover (1 mark)
- (v) Margin (2 marks)